COURSE

## WJEC Eduqas GCE A Level in Business (A510QS)

# Growth and economies of scale

**Component 1: Business Opportunities and Functions · Operations management: Economies of scale**

Revision for Component 1: Business Opportunities and Functions: each firm works it out on its own deals.

Class **A Level or IB Business** Topic **Growth and economies of scale**

THE LESSON

**Setup** 2 min

**Round 1** Decisions 3 min · Deals 5 min · Topic tasks 4 min

| Firm decisions | Deals | TASK 1 Unit cost per car | TASK 2 Why unit cost rose |
|---|---|---|---|

**Round 2** Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

| Firm decisions | Deals | TASK 3 Rank unit cost fall | TASK 4 Unit cost, doubled | B2B deal |
|---|---|---|---|---|

**Round 3** Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

| Firm decisions | Deals | TASK 5 Stop growing? | TASK 6 Fixed cost spread % | B2B deal |
|---|---|---|---|---|

**Final questions** 3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** | Buy property or funds. The value can rise or fall. |
| **Operations** | **Buying** | Hire the Procurement Specialist or the Stock Controller for the round. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

A month of sales.

**Unit cost: cost per car sold?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Fixed costs, a month | **£10,800** |
| Variable costs, a month | **£298,260** |
| Cars sold a month | **18 cars** |

METHOD

**Unit cost = (fixed costs + variable costs) ÷ cars sold**

(£10,800 + £298,260) ÷ 18 = £17,170

**Why:** Unit cost is all the costs shared between the cars.

## Task 2

ROUND 1

After a takeover, your cost per car rose.

**Which two diseconomies are most likely?**

PICK TWO

- ○ Bulk-buying discounts
- ○ Cheaper finance
- ○ Fixed costs spread wider
- ✔ **Poor communication across sites**
- ✔ **Staff less motivated**

**Why:** Big firms can lose control and morale; the other three cut costs.

## Task 3

ROUND 2

Three plans and what they do to cost per car.

**Order by % fall in cost per car, biggest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **£2,000 down to £1,500**
2. **£5,000 down to £4,000**
3. **£8,000 down to £6,800**

**Why:** Falls of 25%, 20%, 15%: the biggest fall in pounds is the smallest %.

## Task 4

ROUND 2

Selling twice as many.

**Cost per car if sales double?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Fixed costs, a month | **£16,000** |
| Variable cost per car | **£13,550** |
| Cars sold now | **16 cars** |

METHOD

**Cost per car = fixed costs ÷ (2 × cars) + variable cost per car**

£16,000 ÷ 32 + £13,550 = £14,050

**Why:** The fixed costs are shared by 32 cars, not 16.

## Task 5

ROUND 3

Each new branch cut your cost per car less, and the last one raised it.

**What should you do next, and why?**

PICK A OR B AND GIVE A REASON

- ○ Keep growing
- ✔ **Stop growing for now**

**Why:** Rising cost per car is a sign of diseconomies of scale.

## Task 6

ROUND 3

Spread the fixed costs.

**Fall in cost per car, to the nearest %?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Fixed costs, a month | **£34,020** |
| Variable cost per car | **£270** |
| Cars sold now | **14 cars** |
| Cars sold after growth | **18 cars** |

METHOD

**Fall % = fall in fixed cost per car ÷ fixed cost per car now × 100**

£2,700 → £2,160; fall 20%

**Why:** The fixed costs are shared by more cars after growth.

# Final questions

**6**
questions for each pupil

**109**
Level 3 Business questions

**1**
of them on growth and economies of scale

**The game draws the 1 question on this topic, and 5 more from the 109 Level 3 questions.**

1 A group buys the next town’s family dealership, keeping its staff and site. Which type of growth is this, and its main risk?

**External, and the risk is merging two ways of working.**